ESG & Responsible Investment Policy

Halvoran Ridge Capital | Version 4.0 | Effective January 2026

1. Purpose and scope

This policy sets out how Halvoran Ridge Capital integrates environmental, social and governance (ESG) factors across the investment lifecycle. It applies to all funds and strategies managed by the firm. The policy was approved by the Management Committee in January 2026 and is reviewed annually.

2. Governance

The ESG Committee is chaired by the Managing Partner and includes the Head of ESG (Sofia Lindqvist), the CFO and two investment partners. It meets quarterly and reports to the Management Committee. ESG performance is a component of annual compensation reviews for all investment professionals.

3. Exclusion list

The firm will not invest in companies that derive more than 10% of revenue from:

- Thermal coal mining or coal-fired power generation
- Controversial weapons (cluster munitions, anti-personnel mines, chemical or biological weapons)
- Tobacco manufacturing
- Adult entertainment
- Predatory lending

4. Investment process

Pre-investment: Every opportunity is screened against the exclusion list. Deals that pass screening receive ESG due diligence using the SASB framework for the relevant industry. Material findings are included in the Investment Committee memo.

Ownership: Each portfolio company sets an ESG action plan within 12 months of acquisition. Companies report annually on a core set of 22 KPIs, including greenhouse gas emissions, employee turnover, board diversity and cybersecurity incidents.

Exit: ESG improvements are documented in vendor due diligence materials.

5. Climate

The firm is aligned with TCFD recommendations and publishes an annual climate report. The firm's target is for 75% of portfolio companies (by invested capital) to have science-based emissions targets by 2030. As of 2025, 41% of Fund IV invested capital met this criterion.

6. Diversity, equity and inclusion

The firm targets at least 30% women on portfolio company boards within two years of investment. As of 31 December 2025, women held 34% of Fund IV portfolio company board seats and 38% of the firm's own investment team roles.

7. Reporting to investors

ESG data is reported to limited partners in quarterly letters and an annual ESG report. The firm completes the ILPA ESG Data Convergence Initiative template annually. ESG incidents rated 'severe' are reported to

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the LP Advisory Committee within 10 business days.

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